3.3 ECONOMIES & DISECONOMIES OF SCALE

MARKING SCHEME

1990/CE/II/22 B	1993/CE/II/21 C	2000/CE/II/17 B	2006/CE/II/18 D (72%)	2016/DSE/I/07 B (52%)
1991/CE/II/20 D	1995/CE/II/22 B	2004/CE/II/20 D (63%)	2008/CE/II/17 D (38%)	2018/DSE/I/12 A (51%)
1992/CE/II/20 D	1998/CE/II/13 A	2005/CE/II/18 B (58%)	2013/DSE/I/05 C (71%)	2020/DSE/I/7 B
2022/DSE/I/07 C	**2025/DSE/I/11 B**			

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1992/CE/I/1(b)
It enjoys economies of scale (1)
- purchasing economy: bulk purchase of spare parts at a discount
- financial economy: lower cost of borrowing due to goodwill / sufficient collateral
- technical economy: fully utilize machines and spare parts (i.e. less than proportionate of part and components are kept for maintenance purpose) (3@, max: 6)

[Mere listing of points without elaboration – max. 2 marks. Mark the **FIRST TWO** points only.]

1993/CE/I/1(c)
(i) Long run, because
all factors are variable / the scale of production is enlarged because the employment of all factors is increased. (2)

(ii)
- economics of scale (without explanation) (1)
- management economy: increased productivity due to greater scope of specialization (3)
- technical economy: fully utilize machines e.g. a van for delivery service (3)
- purchasing economy: bulk purchase of food materials at a greater discount (3)

(max: 6)

[Mere listing of points without elaboration – max: 2 marks. Mark the **FIRST TWO** points only.]

1995/CE/I/10(a)(ii)
- the set up cost required for two shows is the same as that for one (2)
- management economies: the expertise required for two shows is the same as that for one (i.e. the payment to such professionals as designers and accountants can be spread over a larger output.) (2)
- marketing economies: the advertising fee for marketing two shows is the same as that for one (i.e. the advertising fee can be spread over a larger output.) (2)
- purchasing economies: purchase of materials required at a bigger discount than that for one show (2)

(2@, max:4)

[Mark the **FIRST TWO** points only.]

1997/CE/I/9(a)
Elaboration of the following points in relation to KCRC:
- technical economies: fully utilize plants and equipment, such as maintenance depots
- financial economies of scale: borrow at a lower interest rate due to more collaterals
- managerial economies of scale: increased productivity due to greater scope of specialization
- purchasing economies of scale: bulk purchase of new trains, parts and consumables, etc. at a greater discount
- research and development economies: spreading R&D cost over a larger output (2@, max: 4)

[Mark the **FIRST TWO** points only.]
[Remark : Mere mention of the term 'economies of scale' without elaboration – max: 1 mark.]

2000/CE/I/10(b)(i)
Horizontal integration, because (1)
they are doing the same or similar businesses (1)

Elaboration of 3 of the following:
- financial economies of scale: borrow at a lower interest rate due to more collaterals
- managerial economies of scale: increased productivity due to greater scope of specialization
- purchasing economies of scale: bulk purchase of stationary, printing service (leaflet), etc. at a greater discount
- research and development economies: spreading R&D cost over a larger output (2@, max: 6)

[Mark the **FIRST THREE** points only.]

2004/CE/I/11(c)(i)
Name 2 relevant economies of scale with elaboration.
- marketing economies of scale: bulk purchase at lower cost, etc
- technical economies of scale: a fuller use of the plants and equipment
- managerial economies of scale: a wider scope for specialization
- financial economies of scale: easier to raise capital and at a lower interest rate (2@, max: 4)

[Remark: Mark the **FIRST TWO** points only.]

2007/CE/I/1
- management: higher productivity due to a greater scope for specialization / due to benefits from management expertise
- technical: fuller use of resources and facilities / elimination of duplication of resources
- financing: more flexible to raise funds / borrow from banks at a lower interest rate
- purchasing: bulk purchase of raw materials with discount
- marketing: can spread the advertising cost over a larger output
- research and development: can spread the R&D cost over a larger output (2@, max: 6)

[Mark the **FIRST THREE** points only.]

2009/CE/I/9(a)

- Technical economies of scale:	Large firms can utilize more fully the machines and plant equipment and thus reduce the average cost.
- Managerial economies of scale:	A large firm with a wider scope of specialization can raise efficiency and reduce the average cost
- Financial economies of scale:	Large firms can obtain capital at a lower cost, e.g., borrow from a bank at a lower interest rate.
- Marketing economies of scale in purchasing materials:	Buying raw materials in bulk helps to obtain discounts in the purchase and results in a decrease in average cost.
- Marketing economies of scale in advertising:	As the advertising cost and the cost of providing extra service to customers spread over a larger output, the average cost also decreases.
- Risk diversification:	Large firms can reduce risk by diversification of markets / sources of raw materials.
- Research and development:	Large firms can afford to do research and development say, for new production techniques, to reduce the average cost.

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2010/CE/I/9(a)
When the firm is larger in scale, it may enjoy the following economies of scale:

- Financial economies:	Obtaining capital at a lower cost, e.g., borrow from a bank at a lower interest rate.
- Managerial economies:	A wider scope of specialization can raise efficiency and reduce the average cost.
- Technical economies:	When the output is larger, machines can be utilized more fully and efficiently and reduce the average cost.
- Marketing economies of scale in purchasing materials:	Buying raw materials in bulk helps to obtain discounts in the purchase and result in a decrease in average cost.
- Marketing economies of scale in advertising:	Spreading the advertising cost and the cost of providing extra service to customers over a larger output can reduce the average cost.
- Research and development:	Spreading research expenses over a larger output can reduce the average cost.
- Risk bearing:	With more and varied attractions, it can spread risk by diversification of markets / sources of raw materials.

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2015/DSE/II/2(b)
- reduce cost of marketing and promotion
- reduce transportation cost for suppliers
- more related businesses available such as accessories and repair (2@, max: 4)

[Mark the **FIRST TWO** points only.]

2016/DSE/II/2(c)
- cost of advertising shared by a larger number of students
- bulk purchase of raw material in production
- more extensive division of labour (1@, max: 3)

2017/DSE/II/2(b)
- may have become too large in scale, so managerial efficiency starts declining
- may have large outstanding loans, so the marginal cost (interest rate) of further borrowing increases
- market may have saturated, leading to a rise in the marketing cost (2@, max: 4)

[Mark the **FIRST TWO** points only.]

2018/DSE/II/3
- reduction of marketing and promotion costs, because
  the region would attract more customers for high-technology products/services.
- reduction of transportation cost, because
  transport network and other infrastructures would develop more quickly, thus improving accessibility.
- reduction of average/marginal cost of recruiting more experienced and skilled workers, because
  more of these workers would be attracted to the region. (2@, max: 4)

[Mark the **FIRST TWO** points only.]

2020/DSE/II/2

c. Financial economies of scale
Technical economies of scale
Marketing economies of scale
Management economies of scale
Purchasing economies of scale (2 marks)

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2022/DSE/II/1b

(b) Reasons:

— The firm may have large outstanding loans, so the marginal cost of further borrowing increases.
— The firm may have become too large in scale, so managerial efficiency starts declining.
— The market may have saturated, leading to a rise in marketing cost.
— Any other relevant point.

@2 max:2

[Mark the FIRST point only.]

2023/DSE/II/11(d)

(d) Possible reasons:

- The cost of advertising can be spread over a larger quantity of outputs (number of shows).
- The cost of rehearsal can be spread over a larger quantity of outputs.
- any other relevant point

2@; max: 4

[Mark the **FIRST TWO** points only.]

2024/DSE/II/11f

(f) Possible reasons:

- discount for bulk purchase of inputs, e.g., coffee beans
- spreading of advertising cost over a larger number of outputs
- lower cost of borrowing with more collateral
- Any other relevant point

1@ max: 2

[Mark the FIRST TWO points ONLY.]